

Shleifer, and Vishny 1998; Daniel, Hirshleifer, and Subrahmanyam 1998; Hong and Stein 1999; Frazzini 2006).

In anchoring, investors are slow to react to new information, which leads initially to underreaction. In herding, buying begets more buying and causes prices to overreact and move beyond fundamental value after the initial underreaction. Through the disposition effect, investors sell winners too soon and hold losers too long. This creates a headwind, making trends continue longer before reaching true value.

Risk management schemes that sell in down markets and buy in up markets can also cause trends to persist (Gârleanu and Pedersen 2007), as can confirmation bias, which causes investors to look at recent price moves as representative of the future. This then leads them to move money into investments that have recently appreciated, thus causing trends to continue further (Tversky and Kahneman 1974). Behavioral biases are deeply rooted, which may explain why momentum profits have persisted and may continue to persist.

In this paper, we focus on absolute momentum because of its simplicity and the advantages it holds for long-only investing. We can apply absolute momentum to any asset or portfolio of assets without losing any of the contributory value of other assets. With relative strength momentum, on the other hand, we exclude or reduce the influence of some assets from the active portfolio. This can diminish the benefits that come from multiasset diversification and lead to opportunity loss by excluding lagging assets that may suddenly start outperforming.

The second advantage of absolute momentum is its superior ability to reduce downside volatility by identifying regime change. Both relative and absolute momentum can enhance return, but absolute momentum, unlike relative momentum, is also effective in reducing the downside exposure associated with long-only investing (Antonacci 2012).

The next section of this paper describes our data and the methodology we use to work with absolute momentum. The following section explores the formation period used for determining absolute momentum. After that, we show what effect absolute momentum has on the reward, risk, and correlation characteristics of a number of diverse markets, compared to a buy and hold approach. Finally, we apply absolute momentum to two representative multiasset portfolios—a 60/40 balanced stock/bond portfolio and a simple, diversified risk parity portfolio.